



Alternative Mutual Funds

Alternative Mutual Funds Are Not Typical Mutual Funds

Alternative mutual funds (sometimes called alt funds or liquid alts) are publicly offered, SEC-registered mutual funds (<https://www.investor.gov/additional-resources/general-resources/glossary/mutual-funds>) that hold non-traditional investments or use complex investment and trading strategies. Investors considering alt funds should be aware of their unique characteristics and risks.

- **Investment Objectives:** Alternative mutual funds include a wide range of investment objectives designed to meet various investment needs. Many alt funds try to minimize swings in the value of their investments and reduce risks by spreading their investments among different asset types and/or using complex trading strategies. Some alt funds seek to generate above-market returns relative to other mutual funds that have a similar benchmark.
- **Investments:** Unlike traditional mutual funds, alt funds often seek to accomplish their investment objectives by investing in non-traditional investments. For example, alt funds might invest in assets such as global real estate, start-up companies, or commodities such as gold or oil. These investments can sometimes offer greater diversification or different returns than more traditional investments such as stocks, bonds, and cash.
- **Strategies:** Alt funds generally use more complex investment and trading strategies than more traditional mutual funds. For example, alt funds may sell stocks short (/glossary/glossary_terms/short-sale) , use derivatives (/glossary/glossary_terms/derivatives) , or follow "absolute return" or "market neutral" strategies that seek positive returns even when the stock markets fall. However, these strategies may result in higher costs and additional risks than traditionally managed funds.

How Do Alternative Mutual Funds Compare with Hedge Funds?

Alternative mutual funds often have similar investments and strategies to those of hedge funds

(<https://www.investor.gov/additional-resources/general-resources/glossary/hedge-funds>) , and thus alternative mutual funds may sometimes be marketed or sold as “hedge fund-like” options for retail investors. However, alt funds differ from hedge funds in several important ways.

- **Regulatory safeguards:** As mutual funds, alt funds are regulated under the Investment Company Act of 1940, which provides certain safeguards. These protections include limits on illiquid investments, restrictions on borrowings and debt, and the requirement to allow investors to sell their shares at any time. Hedge funds are not required to follow these regulations, and therefore may pursue non-traditional strategies and investments without the same regulatory safeguards.
- **Open to the public:** Any investor may purchase shares of alternative mutual funds. In contrast, hedge funds shares can only be purchased by “accredited investors (<https://www.investor.gov/additional-resources/general-resources/glossary/accredited-investors>) ” or “qualified purchasers” who are required to have a minimum level of income or assets. This is designed to limit investors in hedge funds to those who are financially sophisticated and generally can bear the risks of investing in funds that are not subject to the regulatory safeguards.
- **Potentially Lower Fees:** Investors in alternative mutual funds generally pay lower fees than hedge fund investors. Many alternative mutual funds have an annual fee equal to two percent or less of the fund’s assets. In contrast, investors in hedge funds generally pay advisory fees at a similar level plus a percentage of any profits earned. For example, one fee structure is the so-called 2/20 meaning an advisory fee which is generally equal to 2 percent of the fund’s assets, plus a 20 percent fee of any profits earned.

Before You Invest

Alt funds have unique characteristics and risks. It is important that you understand these characteristics and risks to make sure the investment is a good fit for you. Before you invest in an alternative mutual fund, here are some points to keep in mind:

- **Investment Objectives:** Alt funds have a wide variety of investment objectives. One fund might be designed to capitalize on management expertise in a specific area, such as investing in specific commodities. Others might be designed to provide diversification through exposure to commodities, foreign currencies, and other alternative investments. Be sure the alt fund you are considering meets your investment needs.

- **Strategy Risk Factors:** In addition to the usual market and investment risks associated with traditional mutual funds, alt funds may face additional risks to the extent they use relatively complex investment and trading strategies. Depending on the strategy being used, these potential risks can include use of derivatives (/additional-resources/general-resources/glossary/derivatives) and leverage, futures contracts (/additional-resources/general-resources/glossary/futures-contract) , short selling (/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-introduction-short-sales) and swaps.
- **Operating Expenses:** Alternative mutual funds may have higher expenses than their traditional mutual fund peers. The strategies pursued by alt funds are often complex and may require significant expertise and active management, which increases costs. In addition, the more complex strategies themselves may generate additional expenses.
- **Performance History:** Many alternative mutual funds have limited performance histories. For example, many were launched after 2008, so it is not known how they would perform in a down market. They may perform differently than broad indexes such as the S&P 500.
- **Fund Manager:** Learn as much as you can about the fund manager, such as how long he or she has managed the fund and his or her prior management or professional experience. You can find certain information about the fund manager in the fund's prospectus (<https://www.investor.gov/additional-resources/general-resources/glossary/prospectus>) .

To better understand any funds you are considering investing in, read the fund's prospectus and shareholder reports. They can be found on the SEC's EDGAR database (<https://www.sec.gov/edgar/searchedgar/mutualsearch.html>) .

Related Information

For additional educational information for investors, see the SEC's Investor.gov (/) website or the Office of Investor Education and Advocacy's homepage (<https://www.sec.gov/investor>) .

For additional information related to mutual funds, also see:

- Characteristics of Mutual Funds and Exchange-Traded Funds (ETFs) – Investor Bulletin (<https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/characteristics-mutual-funds-exchange-traded-funds>)

- ***How to Read a Mutual Fund Prospectus (Part 1 of 3: Investment Objective, Strategies and Risks*** (<https://www.investor.gov/news-alerts/investor-bulletins/how-read-mutual-fund-prospectus-part-1-3-investment-objective-strateg>)), ***(Part 2 of 3: Fee Table and Performance*** (<https://www.investor.gov/news-alerts/investor-bulletins/how-read-mutual-fund-prospectus-part-2-3-fee-table-performance>)), ***and (Part 3 of 3: Management, Shareholder Information, and Statement of Additional Information*** (<https://www.investor.gov/news-alerts/investor-bulletins/how-read-mutual-fund-prospectus-part-3-3-management-shareholder-infor>)).
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